

something to other banks and the amount is subtracted from its reserve balance at the Fed. If your bank takes in more money in deposits than it loses in withdrawals, its reserve balance is increased for that day.

The Fed also handles cash. It's a sort of kidney machine for the currency—regulating the flow and also cleaning the money. When a local bank has too much cash on hand, it sends a pile over to the Fed. The Fed counts the money in its high-speed counting machines and credits the bank's reserve account for the deposit.

If the bills are clean, they're bundled up and sent along to banks that need more cash, while a corresponding amount is subtracted from those banks' reserve accounts. If the bills are cut, mutilated, soggy, or dirty, they're culled and sent to the shredders. The New York Fed alone shreds \$40 million worth of bills a day. Because of the chemicals in the ink and the paper, this shredded money is classified as toxic waste. (The implications ought to be explored, but I'll leave them to divinity students and philosophers.)

To replace whatever it shreds, the Fed orders the Bureau of Engraving and Printing to print up new money—but don't jump to conclusions. The popular suspicion that the government solves its budget problems with a printing press turns out to be unfounded. Actually, the government doesn't need to print money to cheapen the currency. Instead, it simply buys billions of dollars worth of bonds with funds that don't exist.

This is how it works. I use "buy" and "pay" in quotes, since there's no real cash involved. When the economy is moribund or in recession, and the Fed wants to stimulate it with more money, it calls up its favorite bond dealers and "buys" some bonds from them. (These are existing bonds, as opposed to the new ones auctioned off each week in the lobby.) The Fed "pays" for these bonds by adding billions of dollars to the reserves of banks where the bond dealers have accounts. This is as painless as typing some extra zeros onto a bank balance.

With these extra "billions" in their reserves, the banks can loan out more money, making it easier for the rest of us to get credit, and driving interest rates lower. This is great for business, but it is also potentially inflationary.